

Securities Lending Policy and Borrow Constraints

Demo policy manual for hybrid retrieval with structured inventory and unstructured rules

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Document Purpose

- Define the operational and policy constraints that apply to security borrow requests.
- Support hybrid questions that combine inventory availability with rule-based explanations.
- Provide reference language for rates, terms, cutoffs, collateral, and exception handling.

This is synthetic demo content for retrieval and hybrid reasoning testing. Values, thresholds, and names are illustrative only.

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1. Definitions and Request Lifecycle

- Borrow availability means the quantity shown in the lending inventory snapshot that may be available for allocation at the time of inquiry.
- Locate availability means a conditional indication and does not guarantee final execution until allocation and approvals are complete.
- Indicative rate is a non-binding pricing estimate that may change intraday based on market conditions, utilization, and recalls.
- Firm rate is a rate confirmed for a specific approved request and valid only for the stated quantity, term, and timestamp.
- Hard-to-borrow status indicates elevated utilization, unstable supply, or special handling requirements.

Standard Request Lifecycle

- Step 1 - Client inquiry received (email, API, or sales desk request).
- Step 2 - Inventory snapshot checked for ticker, quantity, and term support.
- Step 3 - Client entitlement and KYC status validated.
- Step 4 - Policy checks run for concentration, limits, and collateral eligibility.
- Step 5 - Rate returned as indicative or firm, with caveats and next steps.

Request Attribute	Example	Policy Note
Ticker	AAPL	Use primary ticker mapping; aliases should be normalized before search.
Quantity	1,000,000 shares	Quantity is evaluated against both inventory and client cap.
Term	5 days	Term must be less than or equal to max_term_days for the security.
Settlement Day	Same day	Subject to cutoff and regional market timing windows.

2. Eligibility Prerequisites and Account Checks

Before a borrow response is returned as executable, the servicing team should confirm client onboarding and control status.

- KYC status must be approved. Pending or expired KYC results in an informational response only, not executable confirmation.
- Borrowing eligibility flag must be enabled for the account. Some retail accounts can receive market commentary but cannot borrow.
- Account type controls term and collateral options. Institutional and approved pension accounts typically have broader eligibility.
- Regional restrictions may limit access to certain issuers, sectors, or settlement windows.
- Restricted sector controls (for example defense, crypto, or internal restricted list) override inventory availability.

Check	Pass Criteria	Response if Failed
KYC	Approved	Return policy message: 'Borrowing disabled until KYC approved'
Onboarding	Active	Return non-executable informational answer and next steps
Entitlement	eligible_borrowing = Y	Return no-borrow policy explanation
Sector Restriction	Ticker sector not restricted	Explain restriction and escalation path
Counterparty Exposure	Within exposure limit	Offer reduced quantity if possible

For demo purposes, hybrid answers should explicitly separate data findings (inventory and rate) from policy findings (eligibility and restrictions).

3. Borrow Limits and Concentration Controls

- Each account may have a max_single_security_borrow_limit_shares control.
- Each account may have a max_borrow_notional_usd control across open borrow positions.
- Security-level inventory may be available, but a client may only receive a partial fill due to account-level caps.
- Desk concentration controls may reduce allocable quantity when internal utilization thresholds exceed limits.
- Hard-to-borrow names may be subject to manual review above 250,000 shares unless pre-approved.

Scenario	Inventory Snapshot	Client Limit	Expected Response
AAPL request 1M shares	1.25M available	750K cap	Offer 750K and cite client cap
AMD request 1.2M shares	1.8M available	1.5M cap	Approve subject to other checks
NVDA request 500K shares	0 available	1M cap	No availability; mention HTB or unavailable status
TSLA request 600K shares	650K limited	2M cap	Limited capacity; partial fill possible

Concentration Control Guidance

- If internal desk utilization exceeds 85 percent for a name, only partial allocations should be quoted as indicative.
- If utilization exceeds 95 percent, route to exception workflow for approval before providing firm rate.
- If aggregate client notional exceeds max_borrow_notional_usd, return a policy explanation and ask for reduced size or collateral adjustment.

4. Term, Rollover, and Recall Rules

- Supported terms may include overnight, 3-day, 5-day, 7-day, and 10-day subject to security max term.
- A request for a term longer than max_term_days should return a decline with optional alternative terms.
- Rollover requests require fresh inventory and policy checks at rollover time.
- Lender recalls can shorten effective term and may trigger replacement sourcing or closeout guidance.
- Certain hard-to-borrow names are overnight only even when inventory exists.

Rule	Description
max_term_days	Structured field used for initial validation of requested term.
overnight_available	Y/N flag used for same-day overnight borrow eligibility.
recall_risk note	Free-text note can be included in response if available.
rollover caveat	Extensions are not guaranteed and require recheck of supply and policy.

Example response language: 'We can support 600K shares of GOOGL overnight subject to standard cutoff and allocation confirmation. Extension beyond overnight will require a fresh availability check.'

5. Collateral and Haircut Framework

Collateral type eligibility should be validated against both security and account preferences.

Collateral Type	Typical Eligibility	Illustrative Haircut Range	Notes
Cash	Broadly supported	0% to 2%	May be preferred for hard-to-borrow names.
Non-cash government	Institutional and approved pension	2% to 5%	Subject to collateral schedule.
Non-cash corporate	Limited approval	5% to 10%	Requires approved collateral list.
Both	Where permitted	Varies	Desk may specify preferred type per trade.

- Haircuts in this document are illustrative demo values and not executable pricing terms.
- Collateral substitution requests must be approved by operations before trade confirmation.
- Mismatch between account default collateral preference and security requirement should be raised in the response.

6. Pricing and Indicative Rate Caveats

- borrow_rate_bps is interpreted as annualized basis points unless otherwise specified.
- Rates may vary by quantity, term, collateral type, and intraday utilization.
- subject_to_locate rate_type indicates additional sourcing or approval is required before firm quote.
- If no rate is available because status is unavailable, the response should not infer a price.

rate_type	Meaning	Recommended wording
indicative	Non-binding estimate	'Indicative rate currently around X bps, subject to confirmation.'
firm	Confirmed for specific request	'Firm rate confirmed at X bps for stated size and term.'
subject_to_locate	Conditional pending locate	'Indicative only; final rate depends on locate outcome.'
n/a	No rate available	'No rate available because inventory is currently unavailable.'

7. Operational Cutoffs and Market Timing

- Same-day processing is generally subject to market-specific cutoffs shown in the inventory or desk schedule.
- Common cutoff times in demo data may include 14:00 ET, 14:30 ET, 15:00 ET, or 15:30 ET.
- Requests received after cutoff may be queued for next business day processing.
- High-volatility days may trigger earlier cutoffs for selected names.

Market	Illustrative same-day cutoff	Notes
US equities	15:00 ET	Later requests may be handled next day.
US hard-to-borrow	14:00 ET	Manual review and locate workflow adds time.
Cross-listed names	14:30 ET	Check local settlement and desk coverage.

8. Exception Workflow and Escalation

- Use exception workflow when requested quantity exceeds client cap but partial fill is not acceptable.
- Use exception workflow when hard-to-borrow quantity exceeds standard review threshold.
- Escalation levels: Desk Analyst -> Operations Lead -> Risk Control -> Prime Services Manager.
- Document exception request with ticker, quantity, term, client_id, rationale, and requested response deadline.

9. Examples and FAQ

Hybrid Example A - Availability plus policy constraints

Question: 'Do we have 1M shares of AAPL available for borrow today, and what policies or constraints apply to this request?'

Answer pattern: (1) Structured result - confirm snapshot quantity, status, rate, term support. (2) Policy result - check KYC, client cap, cutoff time, and indicative rate caveat. (3) Next step - request account_id if not supplied.

Hybrid Example B - Rate for term request

Question: 'What would be the borrow rate for 5-day term in AMD?' Response should verify AMD supports requested term, return rate_type, and add caveat if indicative.

Frequently Asked Questions

Question	Response Summary
Can availability change after I ask?	Yes. Inventory and rates can change intraday due to new borrows, returns, or recalls.
Is locate the same as guaranteed borrow?	No. Locate is conditional and may require additional approvals or sourcing.
Can I request partial fill?	Yes. Responses may propose reduced size when policy or inventory limits apply.
Can overnight be extended automatically?	No. Extensions require fresh checks of inventory, policy, and desk approval.
What if KYC is pending?	Provide informational response only and route to onboarding support.